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Case Number: 25STCV24013 Hearing Date: June 24, 2026 Dept: 307

22 TENTATIVE RULING 9:15 a.m., Wednesday, June 24, 2026

JOHNNY

GARCIA v. EED MANAGEMENT, LLC, et al. [25STCV24013]

DEMURRER

TO THE THIRD AMENDED COMPLAINT WITH MOTION TO STRIKE OF DEFENDANT EED

MANAGEMENT, LLC

MEET AND

CONFER: OK. Complies with CCP 430.41 and 435.5.

TIMELINE:

Real property purchase dispute

10/21/2024: Plaintiff Johnny Garcia

("Plaintiff") enters into a written real estate purchase agreement (the

"Agreement") with Defendant EED Management, LLC ("Defendant") to purchase the industrial

real property located at 4630-4638 & 4646 E. Washington Blvd., Commerce, CA

90040 (the "Property") for a price of \$3,265,000.00. Defendant's managing member and controlling individual, Defendant Edward E. Diskin ("Diskin"), signs the Agreement on Defendant's behalf. The Agreement contains multiple contingencies, including that Plaintiff would investigate the Property's environmental conditions and cancel the Agreement if materially adverse conditions were discovered (with an initial deadline of 11/20/2024).

Diskin,

acting on behalf of Defendant, also executes a written Seller's Mandatory Disclosure Statement in connection with the sale. In doing so, Diskin falsely affirmed that Defendant had no reason to believe that any release of hazardous substance was located on the Property. At the time, Defendant was in possession of a May 2014 Phase II Environmental Site Assessment (the "2014 Report") that identified hazardous chemicals in soil vapor samples at the Property. Plaintiff alleges that Defendant eventually provided the 2014 Report to Plaintiff. (TAC, ¶¶ 33-34.)

Unknown Date: Plaintiff deposits \$98,000.00

into escrow as the initial deposit toward the purchase price.

11/27/2024: Plaintiff signs amended escrow

instructions granting a limited extension to the environmental contingency,

which now expired on 12/4/2024, in reliance on Defendant's assurances that

access to the Property would remain available for ongoing testing.

2/17/2025: Defendant obstructs Plaintiff's

consultants from inspecting the Property, preventing Plaintiff from discovering

vapor intrusion risks on the Property before the real estate transaction

closed.

2/25/2025: Plaintiff's Phase I Environmental

Site Assessment (the "2025 Report") reveals multiple environmental conditions,

including chemicals, which were hidden by Defendants and which revealed that

the value of the Property was lower than the valuation presented by Defendant.

4/3/2025: Plaintiff elects to cancel the

Agreement and demands the return of Plaintiff's escrow deposit of \$98,000.00.

4/14/2025: Defendant refuses to cancel the

Agreement, asserting that Plaintiff had waived all environmental contingencies.

8/15/2025: Plaintiff files the Complaint. The

operative Third Amended Complaint ("TAC"), filed 4/24/2026, alleges causes of

action for:

1. Breach of Contract

2. Fraud – Intentional

Misrepresentation

3. Fraud – Concealment

4. Negligent Misrepresentation

5/22/2026: Defendant files this Demurrer and Motion

to Strike, which is followed by Plaintiff's Opposition (6/8/2026) and Defendant's

Reply (6/16/2026).

TENTATIVE

RULING: DEMURRER TO THE THIRD AMENDED COMPLAINT WITH MOTION TO STRIKE OF

DEFENDANT EED MANAGEMENT, LLC is OVERRULED in part and SUSTAINED with LEAVE TO

AMEND in part.

I. DEMURRER

Defendant demurs to each cause of action in

the TAC on the grounds that Plaintiff fails to plead sufficient facts to state

the causes of action against Defendant. (Code Civ. Proc., § 430.10, subd. (e).)

A.

2nd

and 4th Causes of Action: Fraudulent Misrepresentation and Negligent

Misrepresentation — OVERRULED

Plaintiff's

fraudulent and negligent misrepresentation claims are sufficiently pled. The

elements of a claim for fraudulent misrepresentation are: (1) a false

representation by the defendant; (2) knowledge of falsity; (3) an intent to

deceive or induce reliance; (4) justifiable reliance by the plaintiff; and (5)

resulting damages. (Engalla v. Permanente Medical Group, Inc. (1997)

15 Cal.4th 951, 974; Service by Medallion, Inc. v. Clorox Co. (1996)

44 Cal.App.4th 1807, 1816.) The elements of a claim for negligent

misrepresentation are similar, except negligent misrepresentation does not require

knowledge of falsity, unlike a cause of action for fraud. (Tindell v. Murphy (2018)

22 Cal. App. 5th 1239, 1252.) "Fraud allegations must be pled with more

detail than other causes of action. The facts constituting the fraud,

including every element of the cause of action, must be alleged factually and

specifically." (Apollo Cap. Fund, LLC v. Roth Cap. Partners, LLC (2007)

158 Cal. App. 4th 226, 240; Charnay v. Cobert² (2006)

145 Cal.App.4th 170, 185, fn. 14 [applying heightened pleading standard for fraud

to negligent misrepresentation claim].) "This particularity requirement

necessitates pleading facts which show how, when, where, to

whom, and by what means the representations were tendered." (Lazar v.

Superior Court (1996) 12 Cal.4th 631, 645.)

Here,

Plaintiff alleges that Defendant made false representations to Plaintiff by:

(1) certifying in the Seller's Mandatory Disclosure Statement that Defendant

had no knowledge of or reasonable cause to believe that hazardous substances

were present at the Property, and (2) certifying in Paragraph 12.1(c) of the Agreement that no hazardous substance conditions existed except as disclosed.

(TAC, ¶ 82.) Regarding the former,

Dirkin executed the disclosure statement on Defendant's behalf of October 21, 2024, in writing, through the transaction documents transmitted through escrow.

(Id. ¶¶ 12-20.) In the disclosure statement, Dirkin affirmative checked

the "Hazardous Substances" box which states the following: "If the property is non-residential property, then as required by California Health and Safety Code

§ 25359.7 Seller notifies Buyer that: Seller neither knows nor has reasonable

cause to believe that any release of hazardous substance (as such terms are

defined by California Health and Safety Code §§ 25320 and 25316) has come to be

located on or beneath the Property." (Id., Exh. B, § 7.) Regarding the

latter, Dirkin executed the written Agreement on Defendant's behalf on the same

date. (Id. ¶ 61.) Section 12.1(c) of the Agreement contains the

"Hazardous Substances/Storage Tanks" provision at issue, which states: "Seller

has no knowledge, except as otherwise disclosed to Buyer in writing, of

the existence or prior existence on the Property of any Hazardous Substance,

nor of the existence or prior existence of any above or below ground storage

tank." (Id., Exh. A, § 12.1(c), italics added.) Plaintiff's negligent

misrepresentation claim is pled in the alternative to Plaintiff's fraud claims

and incorporates the same facts underlying the fraudulent misrepresentations by reference. (Id. ¶¶ 91-92.)

Defendant

argues that these “misrepresentations” underlying Plaintiff’s second and fourth

causes of action do not constitute the type of positive assertions of false

fact necessary to state a claim based on a misrepresentation. Civil Code

section 1572 “defines ‘fraud’ as, among other things, the ‘positive assertion,

in a manner not warranted by the information of the person making it, of that

which is not true, though he believes it to be true.’” (Blankenheim v. E. F.

Hutton & Co. (1990) 217 Cal.App.3d 1463, 1472.) “[C]ase law has long

held that negligent misrepresentation is included within the definition of

fraud.” (Id. at pp. 1472-1473.) “An ‘implied’ assertion or

representation is not enough.” (Wilson v. Century 21 Great Western Realty

(1993) 15 Cal.App.4th 298, 306.) In this case, the Court disagrees with

Defendant, finding Dirkin’s representations in the Agreement and in the

disclosure statement to be clear, affirmative assertions of a verifiable fact

(i.e. that Defendant had no knowledge of hazardous substances on the Property

at the time the documents was executed). (See

TAC, ¶ 82.) Plaintiff alleges that

this statement was false when made because Defendant had actual knowledge of

unremediated chemicals on the Property. (Id. ¶¶ 17-18.) Whether the

statement was actually false when made is a factual question not suitable for resolution on demurrer.

Defendant

next argues that the above-identified statements cannot be false because

Defendant eventually disclosed the presence of hazardous substances on the

Property when it provided Plaintiff with the 2014 Report, which disclosed the

presence of hazardous chemicals on the Property over a decade earlier. (TAC, ¶¶

28, 33-34.) The issue with this argument, however, is that it relies on several

factual inferences that cannot be drawn from the facts alleged on the face of

the pleading. First, the TAC does not identify when the 2014 Report was

disclosed to Plaintiff, such that the facts contained within the 2014 Report

may not have been timely disclosed to Plaintiff at the time the affirmative

factual representations were made. Second, Plaintiff's own allegations indicate

that the 2014 Report was not comprehensive of the information known to

Defendant at the time Defendant's disclosure was made, such as the status of

remediation or the outdated models used for measurements in the 2014. (Id.

¶¶ 35-36, 38.) The extent of Defendant's actual knowledge about the hazardous

conditions on the Property at the time the disclosures were made is a factual

question that cannot be resolved on demurrer.

Defendant

further argues that Plaintiff fails to adequately plead reasonable reliance on

Defendant's false representations. In the real estate context, parties "should

not be permitted to blindly rely upon statements of interested parties when

means of correct information was at hand." (Kahn v. Lischner (1954) 128

Cal.App.2d 480, 490, citing Konda v. Fay, 22 Cal.App. 722, 726.) Here,

Defendant argues that Plaintiff's reliance on Defendant's representations were

unreasonable because the 2014 Report identified unremediated chemicals on the

Property. (TAC ¶¶ 21, 34, 38.) Because the 2014 Report revealed chemicals on

the Property, Defendant argues that it was unreasonable for Plaintiffs to

conclude that the Property lacked contamination. However, this argument ignores

Plaintiff's allegations that the 2014 Report "created a false impression that

the Property was in a stable, 'safe' condition requiring no further

remediation." (Id. ¶ 35.) By telling Plaintiff that the 2014 Report

represented the extent of Defendant's knowledge about hazards on the Property,

Plaintiff was led to believe that the existing report represented "the full

extent of the known risk" and refrained from cancelling the Agreement after the

conclusions of the 2014 Report were "debunked" by the 2025 Report. (Id. ¶¶

35, 37.) While Defendant argues that Plaintiff should have investigated the

Property before waiving contingencies, Plaintiff alleges that Defendant had

superior knowledge of unremediated conditions on the Property and the Property's condition could not have been discovered because the Property was inaccessible to Plaintiff due to Defendant's obstruction. (Id. ¶¶ 33, 55-56, 70.) Whether Plaintiff's due diligence was reasonable under the circumstances— particularly in light of the facts eventually given to Plaintiff in the 2014 Report— is a factual question that cannot be resolved at the pleading stage. For pleading purposes, Plaintiff has alleged sufficient facts to conclude that he reasonably relied on Defendant's representations about the conditions of the Property.

Relatedly,

Defendant argues that the alleged misrepresentations could not have caused Plaintiff's loss of the escrow deposit because this damage was instead caused by the terms of the Agreement itself and Plaintiff's waiver of contingencies before adequately investigating the Property. Nevertheless, Plaintiff's theory is that he was wrongfully induced into executing the Agreement and letting the environmental contingency expire in reliance on Defendant's false representations and failure to disclose the true extent of the facts regarding contamination on the Property. That Defendant's alleged fraud occurred by means of a contractual relationship does not break the causal relationship between Defendant's purported false representations and Plaintiff's alleged damages.

Because

Plaintiff's fraud and negligent misrepresentation claims rely on the resolution of factual questions, these claims are not suitable for dismissal at the demurrer stage. The Court finds Plaintiff has adequately pled facts outlining each element of the claims to state causes of action for fraud and negligent misrepresentation against Defendant.

B.

3rd

Cause of Action: Fraudulent Concealment — OVERRULED

Plaintiff's

fraudulent concealment claim is sufficiently pled. "[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868,

internal citation omitted.)²“California

courts apply the same specificity standard to evaluate the

factual underpinnings of a fraudulent concealment claim at the pleading stage,

even though the focus of inquiry shifts to the unique elements of the claim.” (Rattagan v.

Uber Technologies, Inc. (2024) 17 Cal.5th 1, 43, emphasis added.)

First,

Defendant argues that it did not owe Plaintiff a duty to disclose the “ramifications”

of the hazardous substances on the Property. “In transactions which do

not involve fiduciary or confidential relations, a cause of action for

non-disclosure of material facts may arise in at least three instances: (1) the

defendant makes representations but does not disclose facts which materially

qualify the facts disclosed, or which render his disclosure likely to mislead;

(2) the facts are known or accessible only to defendant, and defendant knows

they are not known to or reasonably discoverable by the plaintiff; (3) the

defendant actively conceals discovery from the plaintiff.” (LiMandri v.

Judkins (1997) 52 Cal.App.4th 326, 337, quoting Warner

Construction Corp. v. City of Los Angeles (1970) 2 Cal.3d 285, 294.)

Here,

Plaintiff expressly alleges that Defendant’s duty to disclose arose out of

Defendant’s partial disclosures about the Property’s hazards (i.e. the 2014

Report) that were likely to mislead Plaintiff regarding the value of the Property. (TAC, ¶¶ 34-36, 89.) While Defendant frames the undisclosed facts as the “potential ramifications” of contamination on the Property, the Court disagrees with this characterization. Plaintiff is alleging Defendant concealed material facts concerning the environmental condition of the Property, including the: (1) continuing presence and risk of chemical contamination, (2) the absence of regulatory closure or remediation, and (3) the fact that prior environmental conclusions were based on outdated regulatory standards. (Id. ¶ 87.)

These facts are not simply the “legal or practical ramifications of disclosed facts,” as Defendants argue, but facts pertaining to the status of the Property itself and the existing hazards thereon at the time of the Agreement. (Opp., at p. 19.) Plaintiff alleges that the true condition of the Property was within the exclusive knowledge of Defendant, but Defendant nevertheless “actively impeded” Plaintiff’s ability to discover such facts by denying access to the Property for further testing. (TAC, ¶¶ 33, 88.) By disclosing the 2014 Report which concluded that the chemicals on the Property fell within an “acceptable risk,” but failing to disclose the remaining material facts regarding the status of the contamination on the Property, Plaintiff alleges that Defendant created a false impression that the Property was in a stable, safe condition

and required no further remediation.

(Id. ¶¶

34-35.) Assuming the truth of Plaintiff's allegations that the 2014 Report was

likely to mislead a reasonable property buyer, Defendant was obligated to

disclose the remaining information regarding the status of the Property that

was not within the 2014 Report.

Defendant

next argues that Plaintiff fails to plead the reasonable reliance and causation

elements of his fraudulent concealment claim for the same reasons discussed

above with respect to Plaintiff's misrepresentation claims. For the same

reasons outlined above, including Defendant's alleged obstruction of

Plaintiff's ability to evaluate the Property and the framework that Defendant's

fraud induced Plaintiff into agreeing to the contract terms, the Court

finds these elements of concealment are sufficiently alleged to survive the

pleading stage.

C.

1st

Cause of Action: Breach of Contract — SUSTAINED with LEAVE TO AMEND

Plaintiff's

breach of contract claim is insufficiently pled. "The standard elements of a

claim for breach of contract are: "(1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) damage to plaintiff therefrom." (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1177.) Here, Plaintiff alleges that Defendant materially breached the Agreement by: (1) denying Plaintiff's environmental consultants access to the Property, (2) falsely certifying that Defendant had no knowledge or reasonable cause to believe that hazardous chemicals were present, (3) failing to disclose the extent of the environmental conditions on the Property and the obsolete nature of the 2014 Report, and (4) interfering with Plaintiff's right to investigate and cancel based on the hazardous conditions on the Property and the materially different facts uncovered in the 2025 Report. (TAC, ¶ 79.)

First,

Defendant argues that Plaintiff fails to allege even ultimate facts to demonstrate that he performed the Agreement or was excused from performance. Plaintiff's breach of contract claim does not even plead the ultimate fact that he adequately performed or was excused from performing the extent of his contractual obligations under the Agreement. At most, Plaintiff alleges he paid the down payment for the transaction into escrow pursuant to Paragraph 4.1 of the Agreement. (TAC, ¶ 9.)

Plaintiff also alleges that he proceeded with environmental due diligence by retaining environmental consultants to conduct a site assessment. (Id. ¶ 47.) Plaintiff also generally alleges that he obtained financing and continued performance under the Agreement in reliance on Defendant's environmental representations. (Id. ¶ 54.) Nevertheless, Plaintiff admits in his Opposition that he was unable to close the transaction but was excused from performance because Defendant obstructed Plaintiff's access to conduct environmental testing on the Property. (See e.g. Id. ¶ 56.) Nevertheless, Plaintiff does not specifically plead in the TAC that his performance was excused based on Defendant's conduct. Nor is it apparent that Defendant's interference with the Property access, in fact, prevented Plaintiff from closing the sale transaction. Accordingly, the Court finds that Plaintiff fails to adequately plead that he was excused from performing his obligations under the Agreement.

Second,

Defendant argues that the alleged "breaches" of the Agreement did not cause Plaintiff's contract damages. Instead, Defendant argues that the provisions of the Agreement itself preclude Plaintiff's contract claim. Specifically, Plaintiff agreed that his escrow deposit would become non-refundable upon the waiver and expiration of all contingencies. (TAC, Exh. A, §§ 4.5, 28.)

Plaintiff also agreed to a liquidated damages clause in which Defendant's damages would be \$98,000.00 if Plaintiff breached the Agreement after waiver of the contingencies. (Id. § 21.) Plaintiff admits in the TAC that he allowed the environmental contingency to expire based on Defendant's conduct. (Id. ¶¶ 45-46, 57-58, 74.) Considered together, Defendant contends that Plaintiff's loss of the \$98,000.00 as the result of the terms of the Agreement itself, not any breach by Defendant.

In the

Court's view, Plaintiff's breach of contract theory relies on the existence of a valid and enforceable Agreement, not one that is voidable due to Defendant's fraudulent conduct related to the environmental disclosures. Based on the plain language of the Agreement and Plaintiff's own admissions in the TAC, Plaintiff cannot demonstrate that he is entitled to recover the \$98,000.00 escrow deposit on a theory of contract. By the time Plaintiff sought to cancel the sale transaction, the environmental contingency had already expired on December 4, 2024. (TAC, ¶¶ 25-27, 57, 63.) It is not clear how Defendant's "breach" of Paragraph 14 of the Agreement in February 2025 caused the expiration of the environmental contingency, which had already expired. (Id. ¶¶ 33, 63.)

By permitting the waiver of the environmental contingency, Plaintiff obligated himself to pay the escrow deposit under the terms of the Agreement unrelated to

Defendant's alleged breach of Paragraph 14.

At best,

the Court finds Plaintiff's allegations related to Defendant's fraudulent disclosure and misrepresentations relating to the environmental conditions on the Property may be alternatively pled as a breach of the implied covenant claim. While Plaintiff does not point to a specific provision of the Agreement which Defendant purportedly breached through this fraudulent conduct, Plaintiff is essentially arguing that Defendant abused its discretion related to the environmental disclosures for the Property and interfered with Plaintiff's ability to receive the benefits of the bargain by misleading Plaintiff. To the extent that Plaintiff intends to amend his contract-based claim, the Court grants leave to amend this cause of action as a breach of the implied covenant theory in the alternative to fraud. Therefore, Defendant's demurrer to Plaintiff's first cause of action is SUSTAINED with LEAVE TO AMEND.

II. MOTION

TO STRIKE – DENIED

Defendant

moves to strike Plaintiff's request for punitive damages from the TAC.

Plaintiff is seeking punitive damages pursuant to Civil Code section 3294 to the extent that Defendant acted with fraud, oppression, or malice. At minimum,

because Plaintiff has sufficiently stated two causes of action based on the fraudulent conduct of Defendant's managing member, the TAC adequately supports Plaintiff's request for punitive damages from Defendant. (Civ. Code § 3294, subd. (c)(3).) Diskin's role as the managing member and controlling individual of Defendant is sufficient to extent liability to the entity Defendant itself. Accordingly, the Court finds that Plaintiff has sufficiently stated a request for punitive damages at the pleading stage.

Defendant EED Management, LLC to serve notice of ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR emailed to counsel and posted to Court's website on 6/23/26 at 11:30.